

Moreover, if the products represent a significant portion of the buyer's costs and there are few switching costs associated with changing suppliers, buyers are empowered to negotiate for better deals. Lastly, if buyers prioritize price over quality, they can use this preference to push for lower prices from suppliers. When such factors align, buyers gain greater bargaining power, enabling them to negotiate better deals and capture more value for themselves.



This scarcity gives them the ability to demand higher prices or impose unfavourable terms. If switching suppliers is expensive, time-consuming, or complex, industry players are less likely to consider alternative suppliers. Suppliers with unique or differentiated inputs also hold significant power. Overall, when these factors align, buyers gain greater bargaining power, enabling them to negotiate better deals and secure more value for themselves.

